NATIONAL AERONAUTICS AND SPACE ADMINISTRATION
JOHN F. KENNEDY SPACE CENTER
JUSTIFICATION FOR OTHER THAN FULL AND OPEN COMPETITION
NASA ENVIRONMENTAL AND MEDICAL CONTRACT (NEMCON)
CONTRACT NO. 80KSC020D0023

1. **Federal Acquisition Regulation (FAR) 6.303-2(b)(1) – Identification of the agency and the contracting activity, and specific identification of the document as a "Justification for other than full and open competition."**

   This document is a justification for other than full and open competition (JOFOC) prepared by National Aeronautics and Space Administration, John F. Kennedy Space Center (KSC).

   The procuring Agency is the National Aeronautics and Space Administration (NASA) and the contracting activity is KSC.

2. **FAR 6.303-2(b)(2) – The nature and/or description of the action being approved:**

   This justification outlines the rationale for contracting by other than full and open competition to approve a modification to contract number 80KSC020D0023 with HSG LLC. The modification seeks to increase the NEMCON Indefinite-Delivery Indefinite-Quantity (IDIQ) ceiling value for NASA Task Orders by [redacted], raising the overall ceiling from [redacted]

   The proposed increase in the IDIQ ceiling is critical to ensuring the scalability and flexibility of the NEMCON contract in supporting NASA's evolving mission priorities through 2030. As depicted in Table 1 below, to date, [redacted] of the IDIQ ceiling has been obligated or approved (reserved) by the Task Ceiling manager, representing [redacted] of the initial overall ceiling value, with 5.5 years remaining in the contract's 10-year period of performance, assuming all options are exercised (October 1, 2020, to September 30, 2030).

   With an increase in requirements, [redacted] is currently projecting a shortfall of [redacted] under the current existing ceiling.

3. **FAR 6.303-2(b)(3) – A description of the supplies or services required, to meet the Agency's needs (including the estimated value):**

   This action seeks to increase the task order ceiling for NEMCON to ensure the continued provision of essential medical services, environmental health services, occupational health, and program management support to the Agency. As a result of changes to the NASA Federal Acquisition Regulation (FAR) Supplement (NFS), NASA determined that there is insufficient ceiling value to provide these services through the end of the contract period of performance. The estimated value of the ceiling increase associated with the increase in utilization under this JOFOC is [redacted] and brings the total contract value from [redacted] to [redacted]. Task Orders issued under this ceiling include centralized and

decentralized task orders. Centralized task orders currently provide support to the following locations:

- KSC and Cape Canaveral Space Force Station (CCSFS)
- United States Space Force (USSF) operations at CCSFS and Patrick Space Force Base (PSFB).

Centralized task orders also provide services to the Agency's commercial partners under Reimbursable Space Act Agreements [redacted]

Decentralized task orders under NEMCON extend support to NASA Headquarters (HQ) and Agencywide to various NASA Centers and locations. Agencywide support currently encompasses the following locations:

[redacted]

Table 1 below summarizes the current obligated or planned and approved task orders under NEMCON to date:

	FY20-FY25	FY26	FY27	FY28	FY29	FY30	Total
Centralized Task Orders	[redacted]						
Decentralized Task Orders	[redacted]						
RSAA Task Orders	[redacted]						
Total	[redacted]						

Table 1. Obligated and Approved (Reserved) NEMCON Task Orders

The current task order ceiling of [redacted] was established in 2019. Technical Matter Experts reviewed requirements and utilized historical execution data from the previous contract, Kennedy Environmental and Medical Contract (KEMCON) to develop the estimate. The methodology included leveraging actuals from KEMCON, factoring in changes in priorities, anticipated increases in future workload, projected adjustments to the existing scope, and the addition of new NASA HQ requirements.

While the NEMCON's Performance Work Statement (PWS) specifies that other NASA Centers may utilize and issue task orders under NEMCON, the original ceiling estimate did not account for input from certain NASA Centers. During the early market research phase, these Centers indicated they would rely on their center-specific acquisition support services contracts rather than the NEMCON contract.

On November 1, 2019, NASA issued Procurement Notice (PN) 19-12, which established the NASA FAR Supplement (NFS) Appendix A. This appendix streamlined enterprise procurement strategies to facilitate a more tactical allocation of critical resources, maximize interdependencies, and reduce redundancies. Subsequently, on July 31, 2024, NASA issued PN 24-07, which introduced section A-102.28, *Occupational Health Services*, and designated NEMCON as the contract vehicle for addressing occupational health requirements.

The establishment of section A-102.28 has significantly increased projected utilization of NEMCON task orders. In 2019, the NEMCON Requirements Development Team (RDT) established the original ceiling, not anticipating that NEMCON would evolve to support an Enterprise Procurement Strategy—eventually emerging as one of four mandatory use contracts for Agencywide occupational health service requirements. Currently, [redacted] in projected NEMCON task order requirements, supporting Agencywide occupational health, have been requested through the NEMCON task order ceiling manager, and are awaiting approval of the task order ceiling increase to transition to NEMCON.

Table 2 below provides an overview of the projected *Occupational Health Services* task orders, organized by Center:

[redacted]	FY25	FY26	FY27	FY28	FY29	FY30	Total
[redacted]	[redacted]	[redacted]	[redacted]	[redacted]	[redacted]	[redacted]	[redacted]
[redacted]	[redacted]	[redacted]	[redacted]	[redacted]	[redacted]	[redacted]	[redacted]
[redacted]		[redacted]	[redacted]	[redacted]	[redacted]	[redacted]	[redacted]
[redacted]					[redacted]	[redacted]	[redacted]
[redacted]					[redacted]	[redacted]	[redacted]
[redacted]	[redacted]	[redacted]	[redacted]	[redacted]	[redacted]	[redacted]	[redacted]

Table 2. Projected NEMCON Occupational Health Services Task Orders

Furthermore, in addition to occupational health services, NASA has reserved capacity in FY 2026 and FY 2029 in support of mission critical [redacted] and [redacted] The current ceiling does not provide sufficient capacity to accommodate these extra requirements. As mandated by the [redacted] these assessments are essential for several high-profile Agency missions—including [redacted] Failure to raise NEMCON's IDIQ capacity could delay mission-critical projects and compromise regulatory compliance, forcing the [redacted] and other programs to reallocate resources toward establishing new contracts for the timely completion of these environmental reviews.

As illustrated in Table 3 below, NASA projects that NEMCON will reach the IDIQ ceiling in fiscal year [redacted], which will result in a shortfall of [redacted]. Furthermore, as shown in Table 2, current center-specific occupational health services contracts are set to expire beginning in fiscal year 2025 or shortly thereafter. These contracts will require transition to

NEMCON in FY 2025 to ensure the continuity of occupational health services and prevent any lapse in support.

Fiscal Year	Current Task Order Value	Projected Task Order Value	Cumulative Value of Task Orders Issued	IDIQ Ceiling Utilized (%)
2025	[redacted]	[redacted]	[redacted]	[redacted]
2026	[redacted]	[redacted]	[redacted]	[redacted]
2027	[redacted]	[redacted]	[redacted]	[redacted]
2028	[redacted]	[redacted]	[redacted]	[redacted]
2029	[redacted]	[redacted]	[redacted]	[redacted]
2030	[redacted]	[redacted]	[redacted]	[redacted]

** FY2026 and FY2029 include projections for EA and EIS requirements.*
Table 3. Cumulative Value of Current and Projected NEMCON Requirements.

Should the ceiling remain fixed at [redacted] NEMCON will not have the capacity to fully support the Agencywide occupational health requirements critical for maintaining uninterrupted operational readiness. Without additional IDIQ capacity, individual Centers would be unable to secure the necessary occupational health services under NEMCON. This shortfall would force Centers to initiate separate procurements or compel the [redacted] to convene a source evaluation board prematurely, thereby causing schedule disruptions and diverting resources from other Agency priorities.

In summary, maintaining the existing ceiling would significantly reduce the availability of critical services, undermine mission execution across various centers, and expose the Agency to increased operational and regulatory risks. An increased IDIQ ceiling is essential to ensure that the Agency can adequately meet both current and future service demands.

4. **FAR 6.303-2(b)(4) – An identification of the statutory authority permitting other than full and open competition:**

The statutory authority permitting other than full and open competition is 10 U.S.C. 2304(c)1, as implemented by FAR 6.302-1(a)(2)(iii), Only one responsible source and no other supplies or services will satisfy Agency requirements. As further defined in FAR 6.302- 1(a)(2)(iii)(B), services may be deemed to be available only from the original source in the case of follow-on contracts for the continued provision of highly specialized services when it is likely that award to any other source would result in unacceptable delays in fulfilling the Agency's requirements.

5. **FAR 6.303-2(b)(5) – A demonstration that the proposed contractor's unique qualifications or the nature of the acquisition requires use of the authority cited:**

The rationale supporting the use of 10 U.S.C. 3204(c)(1) is as described below.

During the market research phase for NEMCON, 22 potential suppliers were identified. However, due to the complex and specialized nature of the environmental and medical services integral to NASA’s space and aeronautical mission, the solicitation ultimately garnered only three proposals. The inherent complexity of these services limits the pool of potential contractors capable of meeting the Agency's requirements without compromising the seamless continuation of critical operations. Currently, there are no viable sources equipped to promptly familiarize themselves with the requirements, implement operations seamlessly, and deliver services without risking interruptions or delays that could jeopardize mission objectives. The synopsis results, detailed in Section 10 of this document, support this determination.

Since its selection through a competitive process under a total small business set-aside—where three proposals were received—HSG LLC has consistently demonstrated its technical capability to successfully perform the requirements of the NEMCON contract, delivering high-quality services aligned with NASA’s unique environmental and medical needs. In 2024, the incumbent contractor reported its transition to large business status, reflecting both growth and enhanced operational capabilities. Rather than diminishing the rationale for raising the IDIQ ceiling, this evolution underscores HSG LLC’s ability to deliver on a larger scale, reinforces the efficiencies inherent in the Agency’s enterprise procurement strategy, and further validates the need for an increased ceiling to capture economies of scale, streamline contract management, and maintain cost efficiencies that benefit the agency.

While a new contractor could theoretically onboard incumbent employees, the Government estimates that new contractor management staff would require approximately two to four months to fully familiarize themselves with the requirements and establish operational readiness. This transition period could disrupt service continuity, leading to unacceptable delays in the provision of critical medical services, environmental health services, occupational health, and program management support to the Agency.

Recompeting this effort would necessitate substantial time and resources, particularly given the remaining period of performance on the current contract. The additional challenges of an accelerated transition period to onboard a new contractor would further exacerbate disruptions to critical requirements. These requirements, which remain vital to NASA’s operations and mission success, must continue uninterrupted under the NEMCON contract.

Furthermore, the current enterprise procurement approach drives significant efficiencies for NASA by unifying Agencywide requirements under a single coordinated strategy that eliminates the redundant efforts of separate, individual procurements. By raising the IDIQ ceiling, the agency capitalizes on economies of scale, streamlined coordinated efforts, and simplified contract management, which together, significantly reduce administrative overhead and acquisition lead time. In contrast, allowing individual Centers to pursue these requirements independently would duplicate efforts and resources, fragment vendor interactions, and forgo the opportunity to secure favorable pricing under an established contract and consistent service levels. Continuing to utilize NEMCON as an enterprise procurement strategy not only minimizes overall costs but also aligns procurement activities

with the agency's broader mission, underscoring the long-term benefits and necessity of an increased contract ceiling.

Increasing the NASA task order ceiling would provide the necessary flexibility to complete the original period of performance, enabling the Agency to avoid schedule disruptions and the diversion of resources from other priorities required to prematurely recompete the NEMCON contract. This action ensures continued access to specialized services that are essential to maintaining operational continuity and supporting NASA's strategic objectives.

6. **FAR 6.303-2(b)(6) – A description of the efforts made to ensure that offers are solicited from as many potential sources as practicable, including whether a notice was or will be publicized as required by Subpart 5.2 and, if not, which exception under 5.202 applies:**

A notice to the Government Point of Entry (GPE) website (Sam.gov) was published on April 1, 2025, in accordance with FAR Subpart 5.2. This posting informed potential sources of NASA's intent to award this sole-source modification to HSG, LLC. The results of this synopsis are summarized in Section 10 below.

Furthermore, competition was pursued at the onset of NEMCON under the original solicitation in 2019, therefore all efforts to obtain competition will be focused on the follow-on acquisition and not for this ceiling increase.

7. **FAR 6.303-2(b)(7) – A determination by the contracting officer that the anticipated cost to the Government will be fair and reasonable:**

The Contracting Officer's signature on this document indicates that the Contracting Officer has determined that the anticipated cost to the government will be fair and reasonable. Under the NEMCON IDIQ, the Contractor shall be required to respond and submit individual task order plan proposals to be evaluated and negotiated by the Government. Prior to execution of each task order, the Contracting Officer shall conduct a task order proposal analysis in order to determine that the final agreed-to price is fair and reasonable.

8. **FAR 6.303-2(b)(8) – Description of the market research conducted, and the results, or a statement of the reasons market research was not conducted (e.g., urgent, and compelling requirement):**

In addition to the synopsis published on April 1, 2022, a review of NEMCON's historical performance was conducted. The Contracting Officer determined that transitioning to another provider for Agencywide support during the remaining Option Years and any potential Option to Extend would be cost prohibitive and contrary to NASA's best interests for Environmental and Medical Services. Furthermore, the Government team has no reasonable expectation that a new provider with the necessary capabilities will enter the marketplace, thereby eliminating the need for a subsequent market survey.

9. **FAR 6.303-2(b)(9) – Any other facts supporting the use of other than full and open competition:**

In accordance with the NASA FAR Supplement (NFS), Appendix A, Section A-102.28, *Occupational Health Services*, NEMCON is designated as a mandatory use contract vehicle for addressing occupational health requirements. This mandatory designation ensures contractual uniformity and operational continuity across NASA facilities, thereby safeguarding the delivery of critical services without disruption.

HSG, LLC stands apart as the only current entity with the depth of technical and operational knowledge required to seamlessly continue the specialized services and support previously afforded under NEMCON. Transitioning to any alternate provider would risk interrupting the established processes and compromise service consistency.

At present, NEMCON is actively managing a portfolio of task orders: [redacted]

With NASA Centers set to undergo a significant transition in FY25—shifting from center-specific contracts to a unified contractual framework under NEMCON—the need for immediate acquisition support becomes paramount. This transition is projected to necessitate the initiation of 5 [redacted] solely in support of *Occupational Health Services*.

Moreover, given that the NEMCON contract is listed as a mandatory use contract in the NFS, any attempt to reprioritize existing tasks or reassign the current or new requirements to individual service contracts would contravene the established guidelines and non-compliance with the NFS, but also risk undermining the continuity and quality of services that have delivered under the current framework.

10. **FAR 6.303-2(b)(10) – A listing of the sources, if any, that expressed an interest in writing in the acquisition:**

A notice of NASA's intent to award this sole-source action was synopsized on the GPE website (Sam.gov) per FAR Subpart 5.2 (See Section 6 above). The synopsis notified all interested sources that this requirement will be issued on a sole source basis and provided them an opportunity to submit their interest and capabilities to the Contracting Officer within 15 days of the synopsis publication. The Contracting Officer did not receive any objections to the proposed contract action.

11. **FAR 6.303-2(b)(11) – A statement of actions, if any, the agency may take to remove or overcome any barriers to competition before any subsequent acquisition for the supplies or services required:**

The Agency will continue to examine the market in the future for alternative solutions or new sources before executing any subsequent acquisitions for the same requirements.

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SIGNATURE PAGE

Contracting Officer Representative (COR): I certify that the facts presented in this justification are accurate and complete.



Contracting Officer: I hereby certify that the above justification is complete and accurate to the best of my knowledge and belief.



CONCURRENCE:



APPROVAL:

